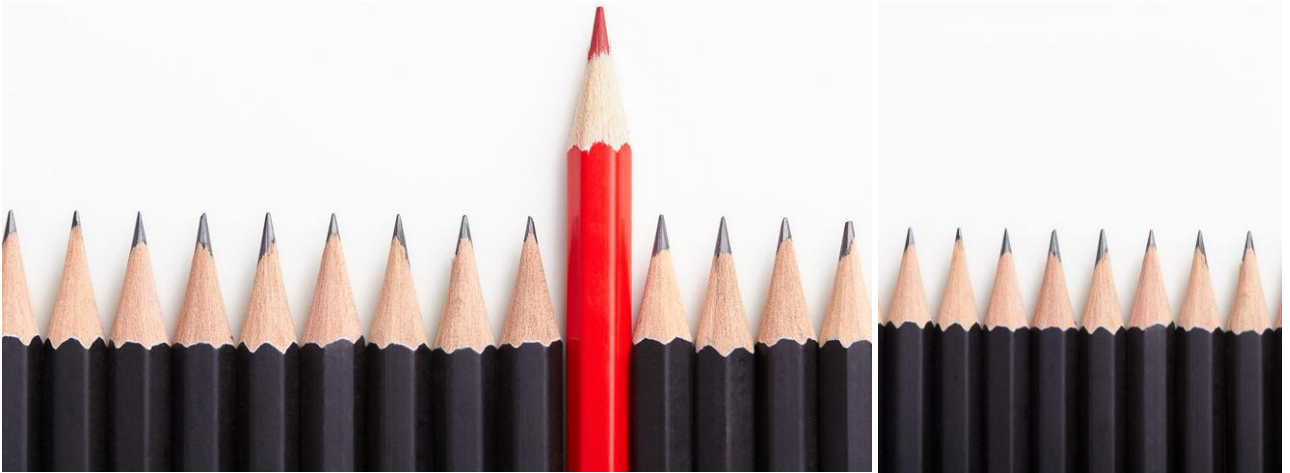




Managing your Finances

By Peninah Kanyua-Muguku



1



Objectives

- At the end of class, you should be able to:
 - Understand basic of Financial management

Financial Statement Overview



- Fashioning a well-designed financial plan as part of a comprehensive business plan is one of the most important steps to launching a new business venture. Entrepreneurs who fail to develop workable strategies for earning a profit from the outset eventually suffer the ultimate business penalty: failure.
 - Proper financial management requires putting in place a system that provides entrepreneurs with relevant financial information in an easy-to-read and readily understandable format on a timely basis. It allows entrepreneurs to know not only how their businesses are doing financially but also why their companies are performing that way.
 - Unfortunately, failure to collect and analyze basic financial data is a common mistake among entrepreneurs. One of the most common cited reasons as to why MSMEs can't access bank loans is financial illiteracy. Most entrepreneurs don't seem to understand the financial aspects of their business.
 - Working with an accountant to set up the system at the outset and then having an employee or a bookkeeping service enter the transactions is most efficient for most businesses.

Basic Financial Statements



1. The first of these statements, **the income statement**, describes how well a company conducted its business over a recent period of time—typically, a quarter (three months) or a year. The income statement compares expenses against revenue over a certain period of time to show the firm's net income (or loss). Like a digital video recorder, the income statement is a “moving picture” of a company's profitability over time.
2. The statement of cash flows show the changes in a company's working capital from the beginning of the accounting period by listing both the sources of funds and the uses of those funds. Many small businesses never need to prepare such a statement; instead, they rely on a cash budget.
3. The balance sheet counts all the company's assets, liabilities, and shareholder equity.

Unit Economics



- The “unit” in unit economics is the fundamental minimum piece of your business that you can measure to understand where your revenue comes from.
- Example: 1. Retailer for T-shirt
 - Retail price
 - Cost
 - Profit
 - A t-shirt is sold for 2500. The cost to manufacture is 500, the cost to package is 300, cost to transport is 200.
 - Sales price – associated costs
 - $2500 - (500 + 200 + 300) = 1500$ Ksh.
 - Per unit cost is 1000
 - Per unit revenue is 1500

Unit Economics



Example: 2. E-Commerce for T-shirt

- You make 15% commission off every T-shirt you sell online.
- Revenue = $2500 * 0.15 = 375$ Ksh.
 - The affiliate is directing a lot of traffic to the T-shirt website and only a percentage of the traffic will buy a T-shirt.
 - So although the T-shirt shop has units of T-shirts, the affiliate website is actually dealing in different units. In this case the units for the affiliate are unique visitors (UV).
 - This is then how it breaks down: The affiliate spends 5000 on advertising which attracts 1000 UVs to the T-shirt site. Only 5% of the visitors convert to purchase:
- $1000 \text{ Unique Visitors} * 5\% = 50 \text{ Purchases}$
- Revenue per purchase ($2500 * 15\% = 375$)
 - $50 * 375 = 18,750$ Ksh. Of Revenue
 - Less cost = $18750 - 5000 = 13,750$ of profit
 - We divide this by the number of units involved
 - $13750 / 1000 = 13.75$ Ksh. Per unique visitor, the platform generates 13.75
 - Off course we have simplified and left out so many costs

Creating Projected Financial Statement



- There are several programs and templates that allow entrepreneurs to easily create projected financial statements. It is important that the numbers you feed the programs or populate into the templates make sense.
 - Revenue projections
 - Break this down into a typical day.
 - Consider revenue drivers
 - Adjust for seasonality
 - Cost of Good Sold – This is the direct costs of items sold
 - Understand your cost drivers.
 - Operating Expenses
 - Have someone review your operating expenses to make sure all information is captured and is accurate.

Break-Even Analysis



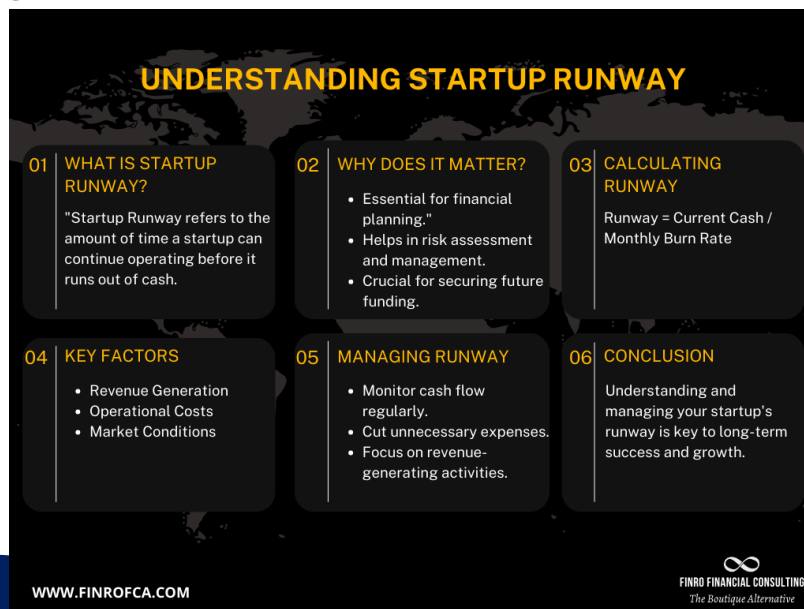
- A company's break-even point is the level of operation (typically expressed as sales shillings or production quantity) at which it neither earns a profit nor incurs a loss. At this level of activity, sales revenue equals expenses—that is, the firm "breaks even."
- Many entrepreneurs leave their own salary out of a break-even calculation. This is not a wise approach. Although the entrepreneur may t forgo paychecks during start-up, the business does not truly break even until the entrepreneur is able to earn a market salary from the business.
- Calculating the Break-Even Point
 - Break Even= Fixed Cost/Gross profit

Managing Cash Flow



- **Cash is King.** The number one reason for new business closure is “lack of cash-either to little capital investment” or lack of cash- poor cash flow management. You can be profitable and still go out of business if you fail to manage cash flow.
- Managing cash flow is also an acute problem for rapidly growing businesses. In fact, fasttrack companies are most likely to suffer cash shortages. Many successful, growing, and profitable businesses fail because they become insolvent; they do not have adequate cash to meet the needs of a growing business with a booming sales volume.
- As a company’s sales increase, its owner also must hire more employees, expand plant capacity, increase the sales force, build inventory, and incur other drains on the firm’s cash supply. During rapid growth, cash collections typically fall behind, compounding the problem. Cash flows out of these high-growth companies.
- **Cash and Profits Are Not the Same.** Profit (or net income) is the difference between a company’s total revenue and its total expenses. It measures how efficiently a business is operating. Cash is the money that is free and readily available to use in a business.

Managing Cash Flow



Managing Cash Flow



- The first step in managing cash more effectively is to understand the company's cash flow cycle—the time lag between paying suppliers for merchandise or materials and receiving payment from customers after they sell the product or service.
 - The longer this cash flow cycle, the more likely the business owner will encounter a cash crisis.
 - Small companies, especially those that buy from or sell to larger businesses, are finding that their cash flow cycles are growing longer as large companies have stretched their invoice payment times to suppliers and decreased their invoice collection times from customers to improve their cash flow.
 - Once entrepreneurs understand their companies' cash flow cycle, the next step in effective cash management is to analyze it, looking for ways to reduce its length.
 - Preparing a cash forecast that recognizes this cycle helps to avoid a cash crisis. Understanding the cash flow patterns of a business over the course of a year is essential to creating a successful cash management strategy

Managing Cash Flow – “The big Three”



- The “big three” of cash management are accounts receivable, accounts payable, and inventory. These three variables are leading indicators of a company's cash flow.
- **Account Receivable** (money owed to your business). If a company's accounts receivable balance is increasing, its cash balance is probably declining. Selling merchandise and services on credit is a necessary evil for most small businesses.
- Every business owner who sells on credit encounters customers who pay late or, worst of all, never pay at all. Most small companies operate with very thin cash reserves, and many lack reliable access to credit; therefore, a late payment from a major customer can create a cash crisis.
- ** Establish a credit and collection policy. Have something legally binding in writing.
- ** Consider charging “interest” on credit sales.
- ** Send invoice out promptly.

Managing Cash Flow – “The big Three”



- **Accounts Payable (What you owe others)**
- The second element of the big three of cash management is accounts payable. The timing of payables is just as crucial to proper cash management as the timing of receivables, but the objective is exactly the opposite.
- Entrepreneurs should strive to stretch out payables as long as possible without damaging their companies' credit rating.
- It is perfectly acceptable for small business owners to regulate payments to their companies' advantage. Efficient cash managers set up a payment calendar each month that allows them to pay their bills on time and to take advantage of cash discounts for early payment.
- Entrepreneurs also can improve their firms' cash flow by scheduling controllable cash disbursements so that they do not come due at the same time. For example, paying employees every two weeks (or every month) rather than every week reduces administrative costs and gives the business more time to use its cash.
- ** Negotiate for terms of credit and consider working with new businesses that really want your order and might be open to giving you favorable payment terms.

Managing Cash Flow – “The big Three”



- **Inventory**
- Offering customers, a wider variety of products is one way a business can outshine its competitors, but product proliferation increases the need for tight inventory control to avoid a cash crisis.
- Another reason why the business might end up with too much inventory, is to try and take advantage of quantity discounts.
- The typical small business has not only too much inventory but also too much of the wrong kind of inventory! Because inventory is illiquid, it can quickly siphon off a company's pool of available cash. An entrepreneur's goal is to minimize the company's investment in inventory without sacrificing sales, selection, and customer satisfaction. Inventory should grow no faster than a company's sales.

Activity



- You have a budget of 250,000 to either start your business or test out your concept.
 1. I will need you to identify your one-time cash needs and recurring cash needs
 2. Prepare financial projections for the first 12 months. Each month, identify a driver for the indicated sales.
 3. How soon will you run out of money and how do you intend to raise additional funding?